

encourage actions such as supplying liquidity or using a particular platform. Consequently, many users engage in *yield farming*, taking actions to seek the highest possible rewards. Platforms can bootstrap their networks by issuing a token with an additional value proposition in the network. Users can keep the token and deploy it in the context of the network or sell it for a profit. Either way, employing tokens in a platform usually increases activity.

Bonding Curve: Pricing Supply

Adjusting supply up and down contractually defines a bonding curve: the price relationship between the token supply and a corresponding asset used to purchase the tokens. In most implementations, investors sell back to the curve using the same price relationship. The relationship is defined as a mathematical function or as an algorithm with several clauses.

To illustrate, let TKN denote the price of a token denominated in ETH (which could be any fungible cryptoasset), and let S represent the supply. The simplest possible bonding curve would be $TKN = 1$ (or any constant). This relationship – TKN backed by a constant ratio of ETH – enforces that TKN is pegged to the price of ETH. The next-level bonding curve could be a simple linear bonding curve, where m and b represent the slope and intercept, respectively, in a standard linear function, $\text{Price}(\text{TKN}) = mS + b$. If $m = 1$ and $b = 0$, the first TKN would cost 1 ETH, the second would cost 2 ETH, and so on. A monotonically increasing bonding curve rewards early investors because any incremental demand